

ENHANCED DUE DILIGENCE & SANCTIONS-SCREENING NOTE

High-risk corporate customer review — risk-based approach, FATF 40 Recommendations

Subject entity	Lantana Trade LLP (limited liability partnership, United Kingdom)
Review type	Enhanced Due Diligence (EDD)
Relationship	Non-resident business account, Estonian branch
Risk rating	HIGH
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Disposition	EXIT & REPORT

Illustrative work sample. Prepared solely to demonstrate methodology, using publicly reported facts concerning the Danske Bank Estonia matter (Bruun & Hjejle report 2018; OCCRP; ICIJ FinCEN Files; Berlingske; CBS 60 Minutes; U.S. DOJ/SEC 2022 resolution). Not a live compliance record.

1. Client overview and purpose of review

Lantana Trade LLP is a limited liability partnership registered in the United Kingdom, with a registered office at a serviced address in a north-London suburb shared with numerous unrelated entities. The relationship under review is a non-resident business account opened in 2012 at the institution's Estonian branch, operational for roughly eleven months. This review was triggered by two events: a mismatch between the customer's UK statutory filings and observed account activity, and transaction-monitoring alerts for high-value, rapid-turnover payments. It applies a risk-based approach consistent with FATF Recommendation 1 and the institution's EDD policy for non-resident and high-risk corporate customers.

2. Client risk classification — HIGH

The customer is rated High. It presents a convergence of the factors the institution weights most heavily: a non-resident customer operating through an opaque legal form, ultimate control located in a higher-risk jurisdiction, a nexus to a politically exposed person (PEP), and transactional behaviour inconsistent with its stated profile. Under the institution's methodology any one of the jurisdiction, structure or PEP factors would mandate EDD (FATF R.10, R.12); in combination they place the relationship at the top of the risk scale and require senior-management approval to open or continue.

Risk factor	Finding	Rating
Customer / product	Non-resident LLP; business account; cross-border payments	High
Legal structure	UK LLP held by corporate members; no verified natural-person owner	High
Geography	Controllers and funds linked to Russia/CIS; members in Marshall Islands & Seychelles	High
PEP exposure	Indirect control link to a family member of a foreign head of state	High
Transaction profile	Value and velocity inconsistent with "dormant" statutory filings	High

3. Beneficial ownership tracing

Ownership was structured to defeat identification of the natural person(s) in control — the defining feature of the relationship. Lantana's registered members are two offshore corporate vehicles rather than individuals: one incorporated in the Marshall Islands (reported as Primecross) and one in the Seychelles. Neither jurisdiction requires public disclosure of underlying ownership, and the UK LLP form itself requires registration only of the legal (corporate) members, not the beneficial owner — the transparency gap addressed by FATF R.24–25. Verification against UK Companies House produced a further contradiction: the entity's filed accounts represented it as dormant / low-turnover while account activity ran to millions daily. Open-source and correspondent-relationship analysis links the controlling interest to individuals associated with Promsberbank (a Moscow-region bank; licence withdrawn 2015, collapsed 2016), and through that institution to Igor Putin

— a board member of Promsberbank and of Russki Zemelnyi Bank, and a cousin of the then-serving Russian head of state. The beneficial owner could not be reliably identified to the standard of FATF R.10; the chain terminates in nominee corporate members rather than a verified natural person.

Layer	Party	Jurisdiction	Role / transparency
Account holder	Lantana Trade LLP	United Kingdom	Customer of record — LLP form, no BO disclosure
Registered members	Two offshore companies (incl. Primecross)	Marshall Is. / Seychelles	Legal owners — no public BO register
Apparent control	Individuals connected to Promsberbank	Russia	De facto control of company and cash flows
PEP nexus	Igor Putin (Promsberbank / RZB boards)	Russia	Family-member / close-associate of head of state

4. Sanctions and watchlist screening

All identified parties — the LLP, both corporate members, Promsberbank and the connected individuals — were screened against the OFAC SDN and Consolidated lists, the UK/OFSI consolidated list, the EU consolidated financial-sanctions list and the UN Security Council Consolidated List, using exact and fuzzy name matching (FATF R.6–7). As of the review date, none returned a positive match to any targeted-financial-sanctions list. That negative result is itself instructive: sanctions screening alone would have cleared this relationship. The material finding is a PEP hit — the control nexus to an immediate family member of a foreign head of state — which triggers the enhanced measures of FATF R.12 (senior-management sign-off, establishment of source of wealth and source of funds, enhanced ongoing monitoring), none of which the file evidences. Adverse-media screening returned credible reporting connecting the wider “Lantana Group” (including IC Financial Bridge, Cherryfield Management, Chadborg Trade LLP and Ergoinvest LLP) to large-scale layering. Screening is a point-in-time control: the sanctions landscape shifted materially after 2014 and again in 2022, when the connected head of state was himself added to the OFAC SDN List — so periodic re-screening of retained records is required.

Party screened	Lists checked	Result
Lantana Trade LLP	OFAC SDN/Consol.; OFSI; EU; UN	No match
Corporate members (MI / SC)	OFAC SDN/Consol.; OFSI; EU; UN	No match
Promsberbank	OFAC SDN/Consol.; OFSI; EU; UN	No match (at review date)
Connected individuals	OFAC SDN/Consol.; OFSI; EU; UN	No sanctions match; PEP + adverse-media hit

5. Red-flag analysis

The relationship exhibits a cluster of red flags recognised in FATF typologies for the misuse of legal persons and layering. Each is individually explainable; together they cohere only as a laundering vehicle.

Red flag	Observation	Typology
Structure vs. activity	“Dormant” filings against millions in daily flow	Misuse of legal persons
Nominee / offshore owners	Members in secrecy jurisdictions; no natural-person BO	Concealment of ownership

Rapid pass-through	Funds in and out within 1–2 days; balances not retained	Layering
Value / velocity	Reported ceiling up to €90m per week for a new, small entity	Volume vs. profile
Sub-threshold payments	Transfers set just under internal control limits	Structuring / smurfing
Round-tripping	Large transfers cycled among ~20 affiliated companies	Circular / mirror flows
Jurisdiction & channel	Ex-Russia/CIS funds routed via correspondent USD clearing	High-risk geography

6. Compliance recommendation and disposition

Recommendation: exit the relationship and report. EDD cannot resolve the customer to an acceptable residual risk — the beneficial owner is unverified, the stated business purpose is contradicted by account behaviour, and the control nexus reaches a PEP with no established source of wealth or funds. Continuing would not meet the CDD standard of FATF R.10 or the PEP requirements of R.12. Recommended actions:

1. File a suspicious transaction report (STR/SAR) with the relevant FIU covering Lantana Trade LLP and the connected “Lantana Group” accounts (FATF R.20); do not tip off.
2. Restrict, then close the accounts in line with FIU guidance and internal exit procedures; add the entity and identified connected parties to the internal watch / de-risking list.
3. Escalate to the MLRO and senior management; document that PEP-EDD and senior approval were absent (control gap for remediation).
4. Retain all records and screening evidence for the statutory period and schedule periodic re-screening against updated sanctions lists.
5. Run a look-back over linked accounts and correspondent USD activity to quantify exposure and surface further reportable transactions.

Methodology & standards. Reviewed against the FATF 40 Recommendations, with primary reference to R.1 (risk-based approach), R.6–7 (targeted financial sanctions), R.10 (CDD and beneficial ownership), R.12 (politically exposed persons), R.16 (wire-transfer information), R.20 (suspicious-transaction reporting), R.22–23 (DNFBPs / trust and company-service providers) and R.24–25 (transparency of beneficial ownership of legal persons and arrangements).

Public sources consulted

- Bruun & Hjejle, *Report on the Non-Resident Portfolio at Danske Bank’s Estonian branch* (2018).
- OCCRP, *Report: Russia Laundered Millions via Danske Bank Estonia* (2018); *The Russian Laundromat Exposed*.
- ICIJ, *FinCEN Files — Inside scandal-rocked Danske Estonia and the shell-company ‘factories’* (2022).
- Berlingske / Postimees investigative reporting on Lantana Trade LLP and connected parties.
- CBS 60 Minutes — Howard Wilkinson (whistleblower) account (2019).
- U.S. DOJ / SEC resolution and SDNY sentencing of Danske Bank (2022–23).
- UK Companies House filings; OFAC SDN/Consolidated, UK OFSI, EU and UN consolidated sanctions lists.